

Meridian Capital Management — Investment Memorandum

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Field	Detail
Company	Deckers Outdoor Corporation
Ticker	DECK (NYSE)
Analyst	J. Tanaka, Consumer/Discretionary
Date	June 6, 2026
Recommendation	SHORT — target weight -2.5% of NAV (variant-view, catalyst-driven)

Thesis (Variant View)

Consensus treats Deckers as a structurally compounding two-brand growth story — HOKA taking durable share in performance running, UGG re-rated into a year-round franchise. We think the market is extrapolating a peak-cycle blend that is quietly being held together by (1) HOKA growth that is increasingly **pulled forward** through aggressive wholesale door expansion and DTC promotion rather than organic full-price demand, and (2) a UGG business that remains **dangerously concentrated in the December holiday quarter**, masking softer underlying run-rate demand the other three quarters.

The tell is in the most recent print. For the December 2025 quarter, **consolidated gross margin actually declined 50 bps to 59.8% from 60.3%** ([DECK 10-Q, quarter ended 12/31/2025](<https://www.sec.gov/Archives/edgar/data/910521/000091052126000005/deck-20251231.htm>)), with cost of sales rising to 40.2% of net sales from 39.7%. Management's own MD&A concedes that **"promotional activity slightly increased compared to exceptionally low levels in the prior period"** and explicitly warns it **"may not realize similar gross margin benefits"** next fiscal year ([DECK 10-K, FY ended 3/31/2026](<https://www.sec.gov/Archives/edgar/data/910521/000162828026037664/deck-20260331.htm>)). If HOKA's growth required a step-up in promotion and door count to deliver +18.5% in the seasonally strongest quarter, the "structural margin" narrative is fragile. We are positioned for multiple compression as the FY2027 gross-margin guide disappoints.

Business Overview

Deckers designs, markets, and distributes footwear, apparel, and accessories under three proprietary brands — **HOKA, UGG, and Teva** — across wholesale and direct-to-consumer (DTC) channels. As of March 31, 2026 the company reports three operating segments: **HOKA, UGG, and Other brands** (Teva plus the wound-down Koolaburra and AHNU lines)

([10-K](<https://www.sec.gov/Archives/edgar/data/910521/000162828026037664/deck-20260331.htm>)). All product is made by independent third-party contractors, with a **significant concentration of sourcing and manufacturing in Southeast Asia** — a key tariff exposure.

The growth engine is HOKA (performance/lifestyle running) and the cash engine is UGG (premium sheepskin/lifestyle footwear, heavily holiday-weighted). For FY2026, **HOKA net sales rose 15.9% to \$2,587.3M** and **UGG rose 8.2% to \$2,738.8M**; Other brands fell 33.9% to \$146.2M. The strategic push is international and DTC: **International net sales grew 26.8% to \$2,280.8M while Domestic was essentially flat at +0.2% to \$3,191.5M** ([10-K](<https://www.sec.gov/Archives/edgar/data/910521/000162828026037664/deck-20260331.htm>)) — i.e., virtually all consolidated growth is now coming from outside the US.

Seasonality is the structural risk. In the December 2025 quarter, **UGG alone was \$1,305.5M of the \$1,957.5M consolidated total** — **roughly 67% of quarterly sales from a single brand in a single quarter**

([10-Q](<https://www.sec.gov/Archives/edgar/data/910521/000091052126000005/deck-20251231.htm>)). The franchise lives or dies on one holiday window.

Financial Summary (real reported figures)

Metric	FY2026 (yr-end 3/31/26)	9M FY2026 (to 12/31/25)	Q3 FY2026 (qtr-end 12/31/25)	Q3 FY2025 (qtr-end 12/31/24)
Net sales (\$M)	5,472.3	4,352.9	1,957.5	1,827.2
Net sales growth (YoY)	+9.8%	+9.8%	+7.1%	—
Gross margin	57.7%	57.7%	59.8%	60.3%
Operating margin	23.1%	25.4%	31.4%	31.0%
Income from operations (\$M)	1,262.9	1,106.2	614.4	567.3
Net income (\$M)	—	888.5	481.1	456.7
Diluted EPS (\$)	7.02	6.04	3.33	3.00

Sources: [10-K, FY ended

3/31/2026](<https://www.sec.gov/Archives/edgar/data/910521/000162828026037664/deck-20260331.htm>); [10-Q, periods ended

12/31/2025](<https://www.sec.gov/Archives/edgar/data/910521/000091052126000005/deck-20251231.htm>). Dashes denote figures not disclosed in the excerpts reviewed; we omit rather than estimate. Note the full-year gross margin of 57.7% sits well below the seasonally rich December-quarter 59.8% — consistent with promotion/mix pressure in the off-peak quarters.

Valuation

This is the fund's own estimate, not company guidance. On reported FY2026 diluted EPS of **\$7.02** ([10-K](<https://www.sec.gov/Archives/edgar/data/910521/000162828026037664/deck-20260331.htm>)), a footwear/apparel growth name carrying both tariff overhang and a decelerating top line (consolidated growth slowed to **+7.1% in Q3** from +9.8% nine-month) should not, in our view, command a premium multiple. We apply a **~24-26x forward P/E** — a normalization toward branded-discretionary peers as the structural-margin story is repriced — implying a fair value in the **\$170-185** range against current trading levels we view as embedding mid-to-high-20s multiples on still-rising estimates. Downside accelerates if FY2027 gross margin guides below the FY2026 57.7% level, which management has already flagged as a live risk. We size the short at -2.5% with the next earnings print as the primary catalyst.

Key Risks (to our SHORT, drawn from the 10-K Risk Factors)

- **Brand momentum risk:** HOKA and UGG could simply keep working. The 10-K notes brand value depends on "continued strength of our brands" and the ability to "respond promptly to evolving preferences, fashion trends" — if they nail it, the short is squeezed ([10-K](<https://www.sec.gov/Archives/edgar/data/910521/000162828026037664/deck-20260331.htm>)).
- **International runway:** International grew +26.8% in FY2026; a long offshore runway could offset flat domestic for several more years.
- **Tariff resolution as upside:** The company notes US Customs has "announced a phased process for submitting refund requests" on duties paid under IEEPA — any recovery (none recognized as of 3/31/2026) would be a positive surprise against a short.
- **DTC mix tailwind:** Management expects DTC growth to "continue to positively impact our gross margin," which could stabilize the very margin we are betting against.
- **Premium/discretionary demand:** A risk to both sides — the 10-K flags HOKA/UGG as "premium, discretionary purchases" sensitive to macro; a soft-landing consumer would hurt our thesis.
- **Multiple persistence:** Quality compounding can stay expensive longer than a short can stay solvent.

Open Diligence Questions (for management / sell-side call)

- **(THE THIN BEAT — HOKA structural vs. pulled-forward.)** Management frames HOKA's growth and the company's gross margin as structural. But in the December 2025 quarter consolidated **gross margin fell 50 bps to 59.8% from**

60.3%, the 10-K concedes **promotional activity "slightly increased,"** and it explicitly warns it **"may not realize similar gross margin benefits"** in FY2027. So: of HOKA's +18.5% Q3 growth, how much came from **net new wholesale doors and incremental promotion versus same-door full-price sell-through**, and can you reconcile a "structural margin" claim with a margin that *declined* in your strongest quarter? (A vague *"demand is strong / margins are healthy"* answer here directly contradicts the 50-bp contraction and the *"slightly increased promotion"* language in the filing.)

- **UGG seasonality concentration:** UGG was ~67% of consolidated Q3 sales (\$1,305.5M of \$1,957.5M). What is UGG's revenue and operating margin in the *non-December* quarters, and how should we think about full-year UGG growth ex the holiday peak?
- **Domestic stall:** Domestic net sales grew only +0.2% for FY2026 (\$3,191.5M). Is the US HOKA/UGG consumer saturated, and what unit vs. price split underlies that near-zero domestic growth?
- **Tariff cost path:** Given the Southeast Asia sourcing concentration and no tariff refunds recognized as of 3/31/2026, what is the quantified FY2027 gross-margin headwind from current tariff schedules before mitigation?
- **FY2027 gross-margin guide:** The 10-K says benefits "may not" repeat. Will full-year FY2027 gross margin be above or below the FY2026 reported 57.7%? What is the bridge?
- **HOKA DTC vs. wholesale margin mix:** HOKA Q3 wholesale grew +17.8% and DTC +19.3%. As wholesale expands to "drive brand awareness and market share," how much channel-mix margin pressure is embedded in FY2027?
- **3PL transition risk:** The 10-K flags transitioning an international 3PL to a new partner with "temporary operational risks." What is the timeline and the worst-case fulfillment/cost impact?
- **Other-brands drag:** With Koolaburra/AHNU phase-outs substantially complete and Other brands down 33.9%, is the Teva repositioning a fixable asset or a structural drag we should fully discount?